

Insurance - Allocation of Responsibilities

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1

Application and Definitions

1.1

Unless otherwise stated, this Part applies to:

1. (1) a _UK Solvency II firm_;
2. (2) in accordance with Insurance General Application 3, the _Society_, as modified by 6;
3. (3) in accordance with Insurance General Application 3, _managing agents_, as modified by 6;
4. (4) a _third country branch undertaking_ (other than a _Swiss general insurer_);
5. (4A) a _third country insurance services provider_; and
6. (5) a _UK ISPV_, in accordance with 7.

1.1A

This Part does not apply to a _SRO firm_.

1.2

In this Part, the following definitions shall apply:

management responsibilities map

has the meaning given in 5.1.

prescribed responsibility

1. (1) for a _firm_ (other than a _third country branch undertaking_, a _third country insurance services provider_, or a _small run-off firm_) means the responsibilities in 3.1 and 3.3;
2. (2) for a _third country branch undertaking_ (other than a _Swiss general insurer_) means the responsibilities set out in 3.1 and 3.3 to the extent only that they are relevant to the operations effected by its _third country branch_, save in relation to 3.1(4) which shall also take account of the operations of the _third country branch undertaking_ to the same extent as is necessary to ensure compliance by the _third country branch undertaking_ with Third Country Branches 13;
3. (3) [deleted.]
4. (4) for a _small run-off firm_ means the responsibilities in 3.2.

third country branch prescribed responsibility

1. (1) for a _third country branch undertaking_ (other than a _UK-deposit insurer_) means the responsibilities set out in 3A.2 to the extent only that they are relevant to the operations effected by its _third country branch_; and
2. (2) for a _UK-deposit insurer_ means the responsibilities set out in 3A.2 to the extent only that they are relevant to the

operations effected by its _third country branch_ and all its _third country undertaking EEA branches_.

third country insurance provider prescribed responsibility

means the responsibilities set out in 3B.2.

2

Allocation of Responsibilities

2.1

Subject to 3A.3 & 3B.3, a _firm_ (other than a _third country branch undertaking_ , a _third country insurance services provider_ , a _small run-off firm_ or a _UK ISPV_) must allocate each of the _prescribed responsibilities_ set out in 3.1 (other than 3.1(10) and (11)) to one or more _persons_ who, in relation to that _firm_ , are approved under section 59 of _FSMA_ by:

1. (1) the _PRA_ to perform a _PRA senior management function_ ; or
2. (2) in relation to _relevant senior management functions_ only, the _FCA_.

2.2

Subject to 3A.3 & 3B.3, a _firm_ (other than a _third country branch undertaking_ , a _third country insurance services provider_ , a _small run-off firm_ or a _UK ISPV_) must allocate each of the _prescribed responsibilities_ set out in 3.1(10) and (11) and the _prescribed responsibility_ set out in 3.3, if applicable, to one or more _non-executive directors_ who perform:

1. (1) a _PRA senior management function_ set out in Insurance ? Senior Management Functions 4; or
2. (2) an _FCA governing function_ at that _firm_.

2.3

Subject to 3A.3 & 3B.3, a _third country branch undertaking_ (other than a _Swiss general insurer_) must allocate each of the _prescribed responsibilities_ set out in 3.1(A1) to 3.1(1), (4), (5), (6), (7) and (12) and each of the _third country branch prescribed responsibilities_ to one or more _persons_ who, in relation to that _firm_ , are approved under section 59 of _FSMA_ or treated as so approved pursuant to a notice given under _section 59ZZA_ , by:

1. (1) the _PRA_ to perform a _PRA senior management function_ ; or
2. (2) in relation to _relevant senior management functions_ only, the _FCA_.

2.3A

A _third country insurance services provider_ who has been given a notice under _section 59ZZA_ must allocate each of the _prescribed responsibilities_ set out in chapter 3B to one or more _persons_ who are treated under that section as approved under section 59.

2.4

A _small run-off firm_ must allocate each of the _prescribed responsibilities_ set out in 3.2 to one or more _persons_ who, in relation to that _small run-off firm_ , are approved under section 59 of _FSMA_ by:

1. (1) the _PRA_ to perform a _PRA senior management function_ ; or
2. (2) in relation to _relevant senior management functions_ only, the _FCA_.

2.5

A UK ISPV must allocate each of the prescribed responsibilities set out in 3.1(A1) to 3.1(A3) to one or more persons who, in relation to that firm, are approved under section 59 of FSMA by:

1. (1) the PRA to perform a PRA senior management function; or
2. (2) in relation to relevant senior management functions only, the FCA.

2.6

A firm must ensure that any responsibilities allocated to, and that form part of the responsibilities of, a person who performs a PRA senior management function in relation to the firm are consistent with the scope of that PRA senior management function and of any prescribed responsibilities, FCA responsibilities and other responsibilities allocated to that person.

3

Prescribed Responsibilities

3.1

Each of the responsibilities set out in this rule is a prescribed responsibility:

1. (A1) responsibility for the firm?s performance of its obligations under the senior management regime (PR A);
2. (A2) responsibility for the firm?s performance of its obligations under the certification regime (PR B);
3. (A3) responsibility for compliance with the firm?s obligations in relation to its management responsibilities map (PR C);
4. (1) responsibility for ensuring that the firm has complied with its obligations in Insurance - Fitness and Propriety to:
 1. (a) ensure that every person who performs a key function but does not also perform a PRA senior management function or a certification function is a fit and proper person; and
 2. (b) provide and obtain regulatory references (PR U);
5. (2) responsibility for leading the development of the firm?s culture by the governing body as a whole (PR I);
6. (3) responsibility for overseeing the adoption of the firm?s culture in the day-to-day management of the firm (PR H);
7. (4) responsibility for the production and integrity of the firm?s financial information and its regulatory reporting (PR Q);
8. (5) responsibility for management of the allocation and maintenance of the firm?s;
 1. (a) capital; and
 2. (b) liquidity (PR O);
9. (6) responsibility for the development and maintenance of the firm?s business model by the governing body (PR T);
10. (7) responsibility for performance of the firm?s ORSA (PR T2);
11. (8) responsibility for leading the development and monitoring effective implementation of policies and procedures for the induction, training and professional development of all members of the firm?s governing body (PR F);
12. (9) responsibility for monitoring effective implementation of policies and procedures for the induction, training and professional development of all of the firm?s key function holders (other than members of the firm?s governing body) (PR G);
13. (10) responsibility for oversight of the independence, autonomy and effectiveness of the firm?s policies and procedures on whistleblowing including the procedures for protection of staff who raise concerns from detrimental treatment (PR N);
14. (11) responsibility for overseeing the development and implementation of the firm?s remuneration policies and

practices (PR M); and

15. (12) responsibility for the _firm?s_ performance of its obligations in respect of outsourced operational functions and activities under Conditions Governing Business 7 (PR X).

3.2

Each of the following responsibilities is a _prescribed responsibility_ in respect of a _small run-off firm_ :

1. (1) responsibility for providing the _governing body_ with an up-to-date business plan and all relevant management information (PR T1);
2. (2) responsibility for managing the _small run-off firm?s_ financial resources (PR CC);
3. (3) responsibility for ensuring the _governing body_ is kept informed of its legal and regulatory obligations (PR DD); and
4. (4) responsibility for the oversight of systems and controls, along with risk management policies and procedures, that are proportionate to the nature, scale, and complexity of the risks inherent in the _small run-off firm?s_ business model (PR GG).

3.3

The responsibility set out in rule 3.3(1) is a _prescribed responsibility_ in the circumstances specified:

1. (1) if a _firm_ is not significant and outsources its internal audit _function_ to an external third party service provider (that is, a service provider outside the _firm_ or the _firm?s_ _group_), responsibility for providing for an effective internal audit _function_ in accordance with Conditions Governing Business 5 and for overseeing the performance of the internal audit _function_ (PR J2).

3A

Prescribed Responsibilities: UK Branches

3A.1

This Chapter applies only to a _third country branch undertaking_.

3A.2

Each of these responsibilities is a _third country branch prescribed responsibility_ :

1. (1) responsibility for management of the _firm?s_ risk management processes in the _UK_ (PR AA);
2. (2) responsibility for the _firm?s_ compliance with the _UK_ regulatory system applicable to the _firm_ (PR FF);
3. (3) responsibility for the escalation of correspondence from the _PRA_ , _FCA_ and other regulators in respect of the _firm_ to each of the _governing body_ or the _management body_ of the _firm_ and, as appropriate, the _firm?s_ _parent undertaking_ and the ultimate _parent undertaking_ of the _firm?s_ _group_ (PR EE); and
4. (4) responsibility for management of the _firm?s_ systems and controls in the _UK_ (PR BB).

3A.3

In relation to a _firm_ who is treated, by virtue of the EEA Passport Rights (Amendment, etc and Transitional Provisions) (EU Exit) Regulations 2018, as having permission under Part 4A of _FSMA_ to carry on a _regulated activity_ :

1. (1) the _prescribed responsibilities_ set out in 3.1 and the _third country branch prescribed responsibilities_ set out in 3A.2 shall not apply; and
2. (2) each of the responsibilities set out in this rule is a _third country branch prescribed responsibility_ :

3. 1. (i) responsibility for the _firm?s_ compliance with the _UK_ _regulatory system_ applicable to the _firm_ (PR FF)
2. (ii) where the _firm_ has applied for permission under Part 4A of _FSMA_ to carry on a _regulated activity_ , until such time as the application has been determined or withdrawn, the responsibility for managing the process of obtaining such permission, including, without limitation, the completion and submission of the _firm?s_ application, and providing the _PRA_ with such co-operation and with all accurate and up to date information that it may reasonably require in order to determine whether the requirements for authorisation have been met).

3B

Prescribed Responsibilities: UK Services Providers

3B.1

This Chapter applies only to a _third country insurance services provider_.

3B.2

Subject to 3B.3, each of these responsibilities is a _third country insurance provider prescribed responsibility_ :

1. (1) responsibility for management of the application of the _firm?s_ risk management processes to its _UK_ activities;
2. (2) responsibility for the _firm?s_ compliance with the _UK_ _regulatory system_ applicable to the _firm_ ;
3. (3) responsibility for the escalation of correspondence from the _PRA_ , _FCA_ and other regulators in respect of the _firm_ to each of the _governing body_ or the _management body_ of the _firm_ and, as appropriate, the _firm's_ _parent undertaking_ and the ultimate _parent undertaking_ of the firm?s _group_ ; and
4. (4) responsibility for management of the application of the _firm's_ systems and controls to its _UK_ activities.

3B.3

In relation to a _firm_ who is treated, by virtue of the EEA Passport Rights (Amendment, etc and Transitional Provisions) (EU Exit) Regulations 2018, as having permission under Part 4A of _FSMA_ to carry on a _regulated activity_ :

1. (1) the _prescribed responsibilities_ set out in 3.1 and the _third country insurance service provider prescribed responsibilities_ set out in 3B.2 shall not apply; and
2. (2) each of the responsibilities set out in this rule is a _third country insurance provider prescribed responsibility_ :
 1. (i) responsibility for the _firm's_ compliance with the _UK regulatory system_ applicable to the _firm_ :
 2. (ii) where the _firm_ has applied for permission under Part 4A of _FSMA_ to carry on a _regulated activity_ , until such time as the application has been determined or withdrawn, the responsibility for managing the process of obtaining such permission, including, without limitation, the completion and submission of the _firm's_ application and providing the _PRA_ with such co-operation and with all accurate and up to date information that it may reasonably require in order to determine whether the requirements for authorisation have been met).

4

Identification of Key Functions

4.1

A _firm_ must identify:

1. (1) each of the _functions_ that the _firm_ considers to be a _key function_ ; and
2. (2) any such _key function_ that amounts to effectively running the _firm_ (or, for a _third country branch undertaking_ other than a _Swiss general insurer_ , effectively running the operations effected by the _third country

branch _or for a _third country insurance services provider_ , effectively running the activities carried out in the _UK_.

4.2

A _firm_ must keep its identification of _key functions_ pursuant to 4.1 up-to-date.

4.3

A _firm_ must keep a record of its reasoning for the identification of _key functions_ pursuant to 4.1.

5

Records

5.1

A _firm_ must have and maintain a _management responsibilities map_ , which is a clear and coherent document or series of documents with the following details:

1. (1) a list of the _key functions_ identified by the _firm_ in accordance with 4.1 highlighting those that amount to effectively running the _firm_ (or, for a _third country branch undertaking _other than a _Swiss general insurer_ , effectively running the operations effected by the _third country branch_ or for a _third country insurance services provider_ , effectively running the activities carried out by the _third country insurance services provider_ , in the _UK_ ;
2. (2) the names of the _persons_ who effectively run the _firm_ (or, for a _third country branch undertaking _other than a _Swiss general insurer_ , effectively run the operations effected by the _third country branch_ or for a _third country insurance services provider_ , effectively running the activities carried out by the _third country insurance services provider_ , in the _UK_ ;
3. (3) for each _person_ named pursuant to 5.1(2), a summary of the significant responsibilities allocated to that _person_ (including, if applicable, any _prescribed responsibilities_ that have been allocated to that _person_ in accordance with 2);
4. (4) where any responsibilities covered by 5.1(3) are allocated to more than one _person_ , details of how those responsibilities are shared or divided between the _persons_ concerned;
5. (5) reporting lines and lines of responsibility for each _person_ listed pursuant to 5.1(2);
6. (6) where a _firm_ (other than a _third country branch undertaking_ or _third country insurance services provider_) is a member of a _group_ :
 1. (a) how the _firm?s_ management and governance arrangements fit together with those of its _group_ and the extent to which the _firm?s_ management and governance arrangements are provided by or shared with other members of its _group_ ; and
 2. (b) for the _persons_ listed pursuant to 5.1(2), details of the reporting lines and the lines of responsibility (if any) to _persons_ who are employees or officers of other _group_ members or to committees or other bodies of the _group_ or of other _group_ members;
7. (7) matters reserved to the _governing body_ (including the terms of reference of its committees) and including, in the case of a _third country branch undertaking_ , the equivalent body (or its committees) responsible for the management of the _third country branch undertaking?s_ business activities in the _UK_ and in the case of a _third country insurance services provider_ , the equivalent body (or its committees) responsible for the management of the _firm?s_ activities in the _UK_.

5.2

A _firm_ must update the _management responsibilities map_ :

1. (1) at least quarterly; and

2. (2) in the event of a significant change to:

1. (a) the _firm?s_ governance structure;
2. (b) the significant responsibilities allocated to a _key function holder_ ; or
3. (c) the reporting lines or lines of responsibility for a _key function holder_.

5.3

A _firm_ must, as soon as reasonably practicable, provide the following to the _PRA_ :

1. (1) upon request by the _PRA_ , a copy of the _management responsibilities map_ ; and
2. (2) in the event of an update pursuant to 5.2(2), a copy of the relevant part of the _management responsibilities map_.

5.4

A _firm_ must keep an up-to-date record of the _statement of responsibilities_ of each _key function holder_.

5.5

A _statement of responsibilities form_ , where it is kept and maintained on behalf of a _key function holder_ , will satisfy the requirement in 5.4.

5.6

The record in 5.4, and each updated version, must be signed by the _key function holder_ and an appropriate representative of the _firm_.

5.7

Where a _firm_ amends its _management responsibilities map_ to show changes in a _person?s_ responsibilities it must also ensure that:

1. (1) the _person_ concerned is informed in writing of the changes; and
2. (2) the record in 5.4 is amended to show the changes.

5.8

Each version of both the _management responsibilities map_ and the record in 5.4 must be retained for a period of ten years from the date on which it was superseded by a more up-to-date record, and must be provided to the _PRA_ on request.

5.9

[Not currently used.]

5.10

A _firm_ must comply with 5.8 in relation to any record created in accordance with SYSC 2.2.1R of the _PRA Handbook_ as at 31 December 2015.

6

Lloyd?s

6.1

This Part applies to the _Society_ and _managing agents_ separately.

7

UK ISPVs

7.1

This Chapter applies only to _firms_ that are _UK ISPVs_.

7.2

A _firm_ that is a _UK ISPV_ is not required to comply with the requirements laid down in:

1. (1) 4 (Identification of Key Functions); and
2. (2) 5.1 to 5.3 and 5.7 (Records).

7.3

The requirements in 5.4 and 5.6 apply to a _firm_ that is a _UK ISPV_ as if any reference to a _key function holder_ were a reference to a _PRA senior management function holder_.

7.4

The requirements in 5.8 apply to a _UK ISPV_ as if the reference to the _management responsibilities map_ were deleted.